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JAPAN-CHINA: Prime Minister Sato has given the clearest public signal to date that Japan is prepared to move forward in normalizing relations with Peking.

In Diet debate on 24 May, Sato expressed a fundamental awareness that the Peoples Republic of China is the "sole legitimate" government of China. This explicit acknowledgment departs from Japan's long-standing formulation that the Peoples Republic is merely the government that represents China, and it meets one of Peking's conditions for the restoration of relations. Sato used the rationale of China's entry into the UN to support the need for normalization. He skirted, however, China's demands that Tokyo comment on the territorial status of Taiwan and abrogate its peace treaty with Taipei.

Sato billed his remarks as a necessary response to the "flexibility" demonstrated by Chou En-lai last week. Meeting with a visiting Japanese opposition party delegation, the premier said that China would welcome a visit by a representative of the Japanese Government after Sato's retirement if Tokyo adhered to Peking's three principles for normalization. There have also been indications that Peking is taking a softer line on these conditions.

Sato publicly acknowledged for the first time on 24 May that the Japanese Government has attempted to communicate directly with Chinese leaders. His latest comments were made at his own initiative and should lay the groundwork for more rapid progress after his expected retirement this summer, although there may not yet be full consensus within the government on how to proceed.

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